

HEADLINE JUDGMENT

Score HOLDS at 27/30 for an eighteenth consecutive edition. No channel moved. The methodological problem this document opened yesterday did not resolve overnight. It hardened onto a settlement price. **One.** On the 2 September close the ACTIVE Brent contract settled **\$95.63** — through the \$95 upgrade level — while the SCORED continuation settled **\$92.09, \$2.91** below it. The trigger no longer sits near one series and far from the other; it sits BETWEEN them on a confirmed close, which is the only kind of price this instrument is allowed to score. \$9.36 forbids reading the two as one series across the 31 August roll, and the basis that separates them has widened every session since — 0.00, 2.12, 3.08, 3.54, 3.67. **The rule is NOT moved to the series that would fire it** (\$9.16, \$9.26). Oil holds at 2/5. **Two,** the correction that matters most: this is **NOT** the first time the active contract has closed above \$95. It did so on **3 June** at \$95.14, and twenty-three times earlier in the war. A superlative sweep caught that before print, and the true claim is narrower — the first such close since 3 June, on ONE close, where the upgrade requires a sustained break. **Three.** Washington is REPORTED to have approved a doctrine, not just a strike. US officials told Axios that Trump has approved a standing **'tanker for tanker'** policy and that American drones put missiles into the engine rooms of two Iranian government tankers — the first US strikes on Iranian tankers in RETALIATION rather than blockade enforcement — describing the campaign as a recurring cycle that had 'bought at least a month'. (!) This is one sourcing chain, anonymous officials via a single outlet, and **CENTCOM has published nothing since 1 September and no damage assessment at all.** **Four. Saudi Arabia named Iran** for the fatal strike on its own VLCC *Sidr* — the first direct Gulf-state attribution of a lethal attack — and UKMTO Warning 126 confirmed **two Filipino seafarers killed.** The IRGC says the tankers hit MINES. Both accounts stand. **Five, the market half.** A **BULL STEEPENER**, the exact inverse of Tuesday: yields fell and fell MOST at the front (2Y -3.08 bp, 30Y -1.59), 2s10s +1.286 — four sessions, three distinct signatures. The repricing is not in crude but in gas: **TTF €73.634, a FOURTEENTH war-record close, and JGLA ¥3,944, an ELEVENTH.** **Six.** \$9.35 is DISCHARGED on the 30-year — the close it would not certify is confirmed genuine. Against that, **one standing figure is WITHDRAWN: the SPR at 293.4 mn bbl was the 14 AUGUST print, carried here as current. Sequencing 27 → 27 → 27 → 27.** Five of six channels are at the cap. The instrument still cannot register a change of American doctrine, and the one channel with headroom is the one it can no longer price.

1 · LIVE TAPE

Scoring reference is the 2 September close (Wed); the 3 September row is a Singapore-MORNING mark taken BEFORE the US cash session and moves no channel (A9a). **All three integrity tests CLEAR this edition.** \$9.8 clears decisively — **all fourteen** TAPE fields published as a 2 Sep intraday moved on settlement, and MOVE, VIX and Asia LNG all printed where the snapshot was blank. (!) **\$9.35 is DISCHARGED on the 30-year:** the 1 September close this document could not certify has been confirmed genuine, because the 2 September row moved around it to 5.2571 (A1.1). \$9.41 clears on a smoothly widening basis in both crudes. The 3 September US session had not begun at the cut: jobless claims, ISM Services and the 3 Sep coupon announcements are **PROSPECTIVE**, not unobtained (\$9.46). Every row below carries the Bloomberg ticker it is drawn from, taken from the extract's own header scan and never hardcoded (\$9.4). **No SCORED price in this document is taken from the web** — screen quotes for 'Brent' refer to the ACTIVE contract and are not the scored series. Trigger notes are compressed; full commentary is in ANNEX A1.

1.1 · Energy

Series	BBG ticker	31 Aug	1 Sep	2 Sep close	3 Sep intr.	Trigger note
Brent, front-month listed — scored	CO2 Comdty	88.37	91.57	92.09	92.08	+\$0.52. \$2.91 from the \$95 upgrade, NARROWED from \$3.43 — the TWELFTH reading and the NARROWEST of the twelve edition-over-edition readings , taking out \$3.03 (21 Aug). Eight narrowings in eleven transitions. \$19.61 above the \$72.48 downgrade, WIDENED. The scored rule is written on THIS series and this series has NOT closed above \$95 since 24 July
Brent, active contract	COA Comdty	90.49	94.65	95.63	95.75	(!) CLOSED THROUGH \$95 , by 63 cents — and it is NOT the scored figure. NOT a first: it closed \$95.14 on 3 JUNE and above \$95 twenty-three times earlier. The narrow claim is the first such close SINCE 3 June, on ONE close, where the upgrade needs a sustained break. Basis 0.00, 2.12, 3.08, 3.54, 3.67 — one step at the roll then smooth widening with no second step, so the roll is clean. \$9.36 forbids reading the two as one. See \$2.1
WTI, front-month listed — scored	CL2 Comdty	84.06	87.75	88.28	88.46	+\$0.53 , moving with Brent for a second session. NO trigger is written on WTI; it is corroboration only
WTI, active contract	CLA Comdty	85.76	90.22	91.01	91.32	Basis to CL2 of 1.70, 2.47, 2.73, 2.86 — the SAME widening shape as Brent's and on the same dates, which is what a genuine prompt-premium move looks like in two independent contracts
Henry Hub natural gas	NGA Comdty	2.935	2.904	2.956	3.018	+\$0.052. 3.49% below its \$3.063 anchor, NARROWED from 5.19%. (!) On the 3 Sep mark it is 1.47% below and nearly back to pre-war. The control's discount to pre-war NARROWED for the first time in a fortnight: American gas is finally moving, but far less than European or Asian
Dutch TTF natural gas	TZTA Comdty	69.809	72.218	73.634	74.200	A NEW WAR-RECORD CLOSE , +€1.416 — the FOURTEENTH of the war and the THIRD on consecutive sessions . +135.8% vs pre-war. The 3 Sep mark is higher again and is NOT a record (\$9.31)
Japan/Asia LNG	JGLA Comdty	3,761	3,785	3,944	no print	+159 , a NEW WAR-RECORD CLOSE — the ELEVENTH — taking out 3,793 of 25 August. +136.3% vs pre-war. (!) It printed where the last edition recorded it dark. No 3 Sep print

1.2 · US Treasuries and inflation expectations

Basis points. A **BULL STEEPENER** — yields fell and fell MOST at the front — which is the exact inverse of Tuesday's bear flattener and the THIRD distinct curve signature in four sessions. Every war-high close set on 1 September survives as a war high; none was taken out. No trigger is written on the 2-year or the 5-year (\$2.1, A10.2).

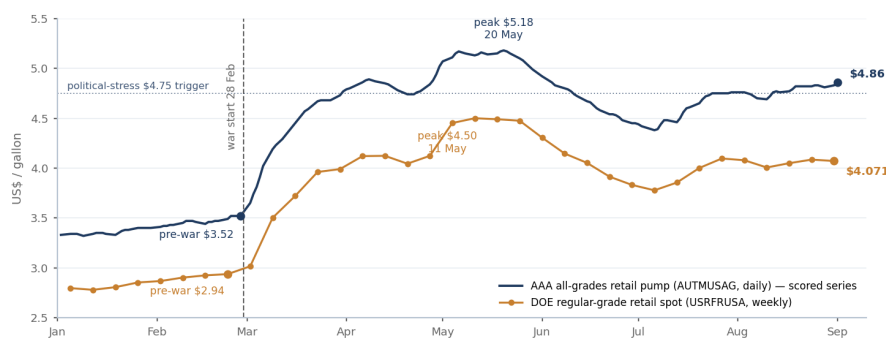
Tenor	BBG ticker	31 Aug	1 Sep	2 Sep close	3 Sep intr.	d/d, bp	Trigger note
2-year	USGG2YR Index	4.3415	4.3998	4.3690	4.3672	-3.08	The LARGEST move on the curve, and downward. Gives back just over half of Tuesday's +5.83. The 4.3998 war-high close of 1 September STANDS. NO trigger is written on the 2-year (\$2.1)
5-year	USGG5YR Index	4.5002	4.5551	4.5339	4.5304	-2.12	Ends a run of three consecutive war-high closes. 4.5551 stands as the high. NO trigger is written on the 5-year
10-year	USGG10YR Index	4.7500	4.7981	4.7780	4.7761	-2.01	Ends a run of two. 4.7981 stands. SATISFIES Threshold B's 4.65% leg by 12.80 bp , NARROWED from 14.81. (!) BE10 gave back 0.92 of this 2.01 , so under half — unlike Tuesday, REAL yield did most of the work
30-year	USGG30YR Index	5.2423	5.2730	5.2571	5.2518	-1.59	(!) \$9.35 DISCHARGED . The 1 Sep close of 5.2730 that this document published as PROVISIONAL is confirmed genuine — the field moved to 5.2571 on a row that also moved — so the +3.07 bp d/d, Threshold B's margin and the long-end leg of Tuesday's flattener all STAND as published. The SMALLEST move on the curve. CLEARs B's 5.20% by 5.71 bp , NARROWED from 7.30. Downgrade leg fails by 25.71 bp , NARROWED from 27.30
2s10s spread	USYC2Y10 Index	40.635	39.414	40.700	40.682	+1.286	A STEEPENING, corroborating the curve shape INDEPENDENTLY of the four generics. 14.940 bp flatter than the 55.64 anchor, from 16.226. (!) A SEPARATE series, not the difference of the printed generics
10-year breakeven	USGGBE10 Index	2.3206	2.3580	2.3488	2.3485	-0.92	9.19 bp above its 2.2569 anchor, NARROWED from 10.11. It moved the same way as the 5y5y for a second session
5y5y forward breakeven	USGG5Y5Y Index	2.2885	2.3110	2.3096	2.3081	-0.14	(!) HOLDS ABOVE the 2.30% firing level for a SECOND close, by 0.96 bp — the break of 28 and 31 August has ended at two closes — by 0.96 bp , a margin inside a single session's typical move, which is stated rather than dressed up — and \$9.26 is NOT YET UNWOUND a second time. 16.76 bp above the 2.142% downgrade anchor

1.3 · Cross-asset

Series	BBG ticker	1 Sep	2 Sep close	vs pre-war	Note
Treasury volatility (MOVE)	MOVE Index	77.88	79.71	+6.33 vs 73.38	+1.83, a THIRD consecutive close above 75 and the HIGHEST since 80.48 on 3 August. (!) It printed where the last edition recorded it dark. The Treasury volatility downgrade leg is LOST for a third session and moving away, not lapsing. No 3 Sep print
Equity volatility (VIX)	VIX Index	16.34	15.20	-4.66 vs 19.86	-1.14, giving back most of Tuesday. Still 4.66 points BELOW the pre-war anchor. (!) Equity volatility fell on the day America announced a standing retaliation doctrine. No 3 Sep print
US dollar index	DXY Index	99.677	99.596	+1.99 vs 97.608	-0.081, ending three sessions of dollar strength. (!) The label resolves as DXY Index, NOT DXY Currency — header scan every edition, never hardcoded (\$9.4)
SOFR overnight rate	SOFRRATE Index	3.66	no print	-0.02 vs 3.68	(!) BACKFILLED at 3.66 for 1 September, which the last edition reported DARK, two ticks below the 31 August 3.68. Dark again on 2 and 3 Sep. No trigger is written on SOFR
Gasoline, AAA all-grades retail pump — scored	AUTMUSAG Index	4.86	no print	+1.34 vs 3.52	(!) BACKFILLED UP AGAIN — the last edition reported 1 Sep DARK with \$4.83 as last resolved. \$4.86 is the JOINT-HIGHEST print since 3 June , equal to the \$4.86 of 4 June; the war high is \$5.18 (20 May) and this is expressly NOT one. 26 cents above the \$4.60 downgrade condition and 11 above the \$4.75 that fired the upgrade, and moving AWAY for a second edition (\$9.30)
Gasoline, DOE regular retail spot — corroboration	USRFRUSA Index	4.071	no print	+1.13 vs ~2.94	Weekly, surveyed Monday; last resolved 31 August. (!) The 2 September EIA release DID occur — see §2.3 — but the Bloomberg field has not carried it, so it is UNOBTAINED here, not prospective

THREE retail series, never compared (\$9.19): AUTMUSAG (scored) last RESOLVED at **\$4.86**; USRFRUSA (weekly corroboration) at **\$4.071**; and AAA's own published headline, read direct on 3 September from a page stamped 'price as of 9/2/26', at regular **\$4.1203** and diesel **\$5.6879**. (!) AAA's prior-day row reproduces exactly the values this document carried yesterday, so the series rolled cleanly with no restatement. **The two AAA fuels continue to come apart**: both rose on the day, but regular by **2.49c** and diesel by **5.54c**, and on the month regular is **+2.40c** against diesel's **+32.42c**. Diesel now sits **12.80 cents** below its **all-time record of \$5.8159**, set on 19 June 2022 — four years before this war, and never to be called a war high. The **3 September AAA figure had not posted** at the Singapore cut and is not estimated here. Full series and denominators at A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG Index, navy, scored) and DOE regular retail (USRFRUSA Index, amber, weekly, corroboration only); the dotted line marks the \$4.75 upgrade trigger, NOT the \$4.60 downgrade condition. The scored series has printed at or above \$4.75 on every session for which it has printed since 12 August. The navy line now ends on 1 September at \$4.86, backfilled this edition; the amber line ends on 31 August at \$4.071. Neither is extrapolated through the dark 2 and 3 September cells.

1.5 · Strait operational — 4-row summary (full record, every provider and denominator, at A1.4)

Strand	State on 3 September	Source
UKMTO / incidents / mines	NIL RETURN on JMJC: no Update 093 was issued , so 092 (ICOD 011500 UTC) remains the standing product and the count is UNCHANGED at 100 . (!) The third of its three incidents is now IDENTIFIABLE and is NOT an attack — it is the withheld-name advisory of UKMTO 123-26, a military aircraft ordering a vessel to reverse course 57NM off Oman with a round landing alongside. The last edition's reading of three attacks is CORRECTED to two attacks and one advisory. UKMTO Warning 126-26 ISSUED 2 Sep : a time-late verified tanker incident with two casualties , upgraded the same day to FATALITIES . (!) The mine contradiction is now in its FOURTH consecutive issue — \$2B 'mine danger areas still active', \$5B continuing clearance, both surviving a cycle in which the surrounding text WAS rewritten, so the paragraph was reviewed and retained rather than left stale. Threat levels unchanged; Hormuz SEVERE	JMIC 092 primary PDF; UKMTO Warning 126-26, 2 Sep; gCaptain 2 Sep
Transits + blockade	(!) NO PROVIDER HAS PUBLISHED A 2 OR 3 SEPTEMBER TRANSIT COUNT . Everything below tops out on 1 September and the gap is recorded, not filled. Windward MIOC: 1 inbound / 3 outbound = 4 in the 24h to 18:00 UTC 1 Sep, against 13 the day before, none of the three outbound movements being tankers . Kpler via Reuters: 4 crossings on 1 Sep against its own ~13 ten-day average — and via The National, ~5, the SAME provider on the SAME day, a conflict left standing. ¶ IRRECONCILABLE : Energy Secretary Wright said 17 mn bbl crossed on 31 August, which ING reads as implying flows ABOVE pre-war while itself noting trackers estimate 'much more modest flows'. Four crossings and 17 mn bbl are not the same waterway. Both printed; neither adopted. ¶ CENTCOM's 82 / 3 / 2 is STILL data-dated 29 August — a FOURTH edition, five days stale . UANI publishes 84 on its own universe and date; it is an advocacy NGO, NOT an official update, and the two tallies are NOT differenced (\$9.19)	Windward MIOC 1 Sep; Kpler via Reuters and The National 2 Sep; Reuters 2 Sep; UANI 1 Sep
CENTCOM / kinetic	WASHINGTON IS REPORTED TO HAVE APPROVED A DOCTRINE, AND HAS PUBLISHED NOTHING AT ALL . US officials to Axios, 2 Sep: Trump has approved a standing ' tanker for tanker ' policy; American drones struck the engine rooms of two Iranian government tankers anchored north of the blockade line — the first US strikes on Iranian tankers in RETALIATION rather than blockade enforcement — within ~100 targets, framed as a recurring cycle that had 'bought at least a month'. (!) ONE sourcing chain, anonymous US officials via a single outlet, republished widely; the ~100 figure is NOT a CENTCOM number. centcom.mil read direct 3 Sep: NOTHING published on 2 or 3 September and NO battle damage assessment of any kind . NO fresh US wave and NO fresh Iranian salvo on the night of 2–3 Sep — a two-day gap after a fortnight of near-daily action, recorded as a finding. Iran's toll rose to 18 killed ; its own ministries give 108 and 142 wounded, both Tier 3 and irreconcilable on the same day	Axios 2 Sep; centcom.mil read direct 3 Sep; Reuters, Al Jazeera, TASS 2–3 Sep
Diplomacy + economic war	SAUDI ARABIA NAMED IRAN . Its foreign ministry attributed the fatal 31 Aug strike on the Bahri VLCC <i>Sidr</i> to Iran on 2 September — the first direct Gulf-state attribution of a LETHAL attack — with two Filipino seafarers killed , the fourth Bahri vessel hit since June. (!) The IRGC says the tankers struck MINES . Both accounts stand and neither is adopted. Kuwait and Qatar condemned. ¶ The diplomatic track NARROWED to one Iranian condition and an explicit American refusal : Pezeshkian offers to 'immediately reciprocate' a US return to the June memorandum; Rubio says 'that ship, in many ways, has sailed'; Trump says he 'couldn't care less' whether Iran signs. Supreme Leader Mojtaba Khamenei's first message since fire resumed promises 'unforgettable lessons' and mentions no diplomatic path at all . ¶ Iran's PGSA expanded its Hormuz blacklist from 45 to 56 vessels on 2 Sep, ADNOC L&S, Navig8 and Bahri among the owners. NO movement on the Iran–Oman declaration; NO ceasefire proposal; NO UNSC meeting	Saudi MFA via Al Jazeera/Reuters 2 Sep; Bahri; Reuters via MarineLink 2 Sep; ABC, RFE/RL 1–3 Sep

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. A nil return on the allied product, a correction to this document's own reading of it, and the first Gulf-state attribution of a lethal attack.

(i) The state. The downgrade requires a verified reopening AND traffic above **25%** of normal for ten sessions. Neither leg advanced, and this edition reports LESS movement than the last: **no JMJC Update 093 was issued**, so 092 stands, the count is **UNCHANGED at 100 incidents since 1 March**, and Hormuz stays **SEVERE**. (ii) **A CORRECTION THIS DOCUMENT OWES ITSELF**. The last edition read 092's three incidents as three attacks. The third is the withheld-name advisory of UKMTO 123-26 and is **NOT an attack**; the correct reading is **two attacks and one blockade-enforcement advisory** — BURGAN and SENEGAL PROSPERITY — and the earlier characterisation is withdrawn (A1.2). (iii) The attribution moved further than the count. On 2 September **Saudi Arabia's foreign ministry named Iran** for the 31 August strike on its own Bahri VLCC *Sidr*, and UKMTO Warning **126-26** confirmed **two Filipino seafarers killed**. This is the first time a Gulf state has attributed a LETHAL attack to Iran by name — materially different from condemning a strike on another state's ship. (!) The IRGC says the tankers struck **mines**. Both stand; neither is adopted; no casualty figure here rests on the Iranian version. (iv) **The mine contradiction is in its FOURTH consecutive issue** and can no longer be called boilerplate: 092 keeps 'mine danger areas still active' in a product whose surrounding text WAS rewritten this cycle, so the paragraph was reviewed and retained weeks after the allied theatre commander declared the recognised routes mine-free. The flow-not-stock reading rests on allied paper that keeps re-asserting the stock. (v) **The traffic leg cannot be measured this edition**. No provider published a 2 or 3 September count — not Kpler, not Windward, not Lloyd's List — and the gap is recorded rather than filled. What exists tops out on 1 September and is set out with every denominator at A1.4. (!) The irreconcilable pair stands: four crossings and Secretary Wright's seventeen million barrels are not the same waterway, and neither is adopted. CENTCOM's **82 / 3 / 2** is data-dated 29 August for a FOURTH edition and is five days stale.

OIL PRICE SHOCK — 2/5, held. The scored series set the narrowest of the twelve edition-over-edition readings and the active series closed through the level. The rule still cannot tell which one it means.

(i) The scored distance, and the bound on it. Brent CO2 closed **\$92.09, +\$0.52**, leaving the **\$95** upgrade **\$2.91** away, narrowed from **\$3.43**. The sequence is 9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06, 6.48, 6.90, 6.63, 3.43, 2.91 — TWELVE readings, EIGHT narrowings, and **\$2.91 takes out the \$3.03 of 21 August as the narrowest of the TWELVE edition-over-edition readings**. (!) That is a bound on this sequence, NOT on the war: the scored contract itself closed above \$95 as recently as 24 July. The downgrade leg moved further away, to **\$19.61** above **\$72.48**. (ii) **And the problem got worse in the only way that matters**. Yesterday the active contract was through \$95 on an intraday mark, which this instrument may not score. Today it is through on a **CLOSE**: COA settled **\$95.63**, 63 cents above the level the rule names, in the same session the continuation settled **\$2.91** below it. **The trigger now sits between the two series on the only kind of price the methodology recognises**. (!) Narrow the claim: this is NOT the first COA close above \$95 — it closed **\$95.14 on 3 June** and above \$95 on twenty-three occasions earlier. A superlative sweep caught that before print. The true statement is the first such close SINCE 3 June, on ONE close, where the upgrade requires a sustained break and this document has twice refused to move a channel on a single one. (iii) The roll is not the explanation. The basis ran 0.00, 2.12, 3.08, 3.54, 3.67 — one step off zero at the 31 August roll, then smooth widening with NO second step and no sign change, matched in shape by WTI's 1.70, 2.47, 2.73, 2.86. \$9.41 clears and the roll was clean. But the two series are **\$3.54** apart on the close, and \$9.36 forbids constructing anything across them. (iv) **The rule is NOT moved** — not onto the active contract because that is where the upgrade would fire, and not quietly re-read on the continuation to make the problem disappear. **\$9.56 remains the largest open methodological problem in the document, now live on settlement prices**. The channel holds at 2 on the scored continuation, which has not closed above \$95 since **24 July**. (v) What is repricing is gas, not crude: TTF a **FOURTEENTH** war-record close at **+135.8%** and Asia LNG an **ELEVENTH** at **+136.3%**, both in one session, while Brent added fifty-two cents. (!) And the control's discount narrowed for the first time in a fortnight, from **5.19%** to **3.49%**. American gas is following at a fraction of the move.

US INFLATION IMPULSE — 5/5, held. The break ended at two closes, by 0.96 bp, and for the first time a US diffusion index has quantified the war inside its own data.

(i) The trigger held above its firing level for a **SECOND** consecutive close: the 5y5y settled **2.3096%**, **-0.14 bp** but **0.96 bp** above **2.30%** — a margin inside a single session's typical move, stated as such. The break of 28 and 31 August did not become the sustained reversal that would have forced this channel down, and **\$9.26 is not yet unwound a second time**. The scored downgrade condition, the **2.142%** anchor, is **16.76 bp** away and has not been threatened. (ii) Spot compensation moved with the forward again: BE10 **2.3488%**, **-0.92 bp**, **9.19 bp** above its **2.2569%** anchor. (!) The composition inverts Tuesday — BE10 gave back 0.92 of the 10-year's 2.01 bp fall, so under half. Tuesday's rise was compensation; Wednesday's fall was mostly **REAL** yield. (iii) **The war entered the survey data by name**. August ISM records that **30 per cent** of negative respondent comments mentioned the Iran war, against 57 per cent on pricing volatility and 29 on tariffs, with a chemical-products respondent naming the Strait directly. This is the first time in this record that a US diffusion index has put a NUMBER on the conflict inside its own commentary rather than being read as a proxy for it. ISM Prices unchanged at **71.1**, a twenty-third consecutive month of expansion. (iv) The Beige Book of 2 September corroborates and cuts both ways: 'widespread reports of price increases for energy, transportation, and raw materials', with **St Louis the only district of twelve** to name the conflict and report a **robust** pace on Middle East fuel costs. (!) But it also records that **pass-through is breaking** — price sensitivity is 'putting a limit on their ability to pass through input price increases'. An input shock that cannot be passed on is a margin event before it is an inflation event, and the breakevens are pricing the first.

TREASURY STRESS — 5/5, held. The integrity test that would not certify the long end has discharged, every war high stands, and volatility has now risen for three sessions.

(i) **\$9.35 IS DISCHARGED**. The 1 September 30-year close of **5.2730%** — identical to four decimals to the intraday published that day, and so carried as PROVISIONAL — is confirmed genuine, the field having moved to **5.2571%** on a row that also moved. Everything hedged last edition now stands: the **+3.07 bp** change, Threshold B's margin, and the long-end leg of Tuesday's flattener. (!) The flag resolved without a finding — a NULL result, not affirmative verification — at a cost of one edition of hedged language. (ii) The shape inverted. Wednesday was a

BULL STEEPENER: yields fell and fell MOST at the front (2Y **-3.08 bp**, 5Y **-2.12**, 10Y **-2.01**, 30Y **-1.59**), 2s10s **+1.286** corroborating independently — the exact inverse of Tuesday and the **THIRD distinct signature across four sessions**. (iii) Every war-high close of 1 September SURVIVES: the 2-year's **4.3998%**, the 5-year's **4.5551%** and the 10-year's **4.7981%**. (iv) **The volatility leg is lost a third session and moving away rather than lapsing**. The downgrade needs the 30-year below **5.00%** WITH MOVE below **75**, sustained. MOVE closed **79.71**, **+1.83**, a THIRD consecutive close above 75 and the highest since **80.48** on 3 August; the yield leg fails by **25.71 bp** — narrowed from 27.30, but narrowed because yields FELL, not because volatility did. (!) \$9.15 does not fire for a **FIFTH** consecutive session. (v) Supply is the near risk and it lands badly: the 3-year, 10-year and 30-year reopenings are announced 3 September and all settle **15 September**, the first day of the FOMC, while the buyback regime doubling long-end operations to at least **\$4bn** takes effect **9 September**. Coupon supply and a policy decision arrive together, into a curve that has changed shape three times in four sessions.

POLITICAL STRESS — 5/5, held. The scored series backfilled up again to a three-month high, and the fuel that is actually breaking is not the one the trigger is written on.

(i) The scored series moved AWAY from its downgrade for a second consecutive edition. AUTMUSAG **backfilled UP** again, to **\$4.86** for 1 September against the **\$4.83** carried as last resolved — the joint-highest print since **3 June**, equal to the \$4.86 of 4 June, and expressly **NOT a war high** (\$5.18, 20 May). It sits **26 cents** above the **\$4.60** downgrade condition and **11** above the **\$4.75** that fired the upgrade. The 2 and 3 September cells are dark and are not extrapolated. (ii) **The two retail fuels have separated far enough that the scored one is the less informative**. AAA published regular at **\$4.1203** on 2 September, **+2.49c**, and diesel at **\$5.6879**, **+5.54c**; on the month regular is **+2.40c** against diesel's **+32.42c**. Diesel is **12.80 cents** from its all-time record of **\$5.8159**, set 19 June 2022 — four years before this war, and never to be reported as a war high. (iii) The refining data explains why. The **ICE gasoil crack reached a record \$79 a barrel** on 1 September and the US diesel crack trades above **\$100**, with ING writing that the refining system 'has little slack'. A chokepoint that lengthens voyages and strands middle distillates hits diesel before gasoline. The political trigger is written on the fuel moving least — a limitation of the instrument, stated rather than corrected, because the \$3.52 anchor and the whole scored history depend on not re-basing it (\$9.19). (iv) The political reading is deteriorating on evidence the trigger cannot see: Reuters/Ipsos in August has **31 per cent** approving of the war against **63** disapproving, and the President's overall approval down from 40 to **33 per cent** over the period since the conflict began. The poll does not decompose the decline and this document does not attribute it.

ESCALATION RISK — 5/5, held. America published a standing doctrine rather than a strike, and the score has no way to register a change in the rules of the war.

(i) **The most consequential thing in this edition is not an event but a POLICY**. US officials told Axios that the President has approved a standing **'tanker for tanker'** response, and that American drones put missiles into the engine rooms of **two Iranian government tankers** anchored north of the blockade line — the first US strikes on Iranian tankers in RETALIATION rather than in enforcement of the blockade — describing the campaign as a recurring maintenance cycle that had 'bought at least a month'. That converts attacks on commercial shipping into an automatic exchange rate against Iran's own fleet, and the campaign from a closed retaliation into an open-ended regime. (ii) **The sourcing must be stated as plainly as the claim**. ONE chain — anonymous US officials, a single outlet, republished widely — and republication is not corroboration; the ~100-target figure is theirs and NOT a CENTCOM number. centcom.mil, read direct on 3 September: **nothing published since 1 September, no battle damage assessment, no target list, no acknowledgement of the tanker strikes at all**. (iii) Against the doctrine, the kinetic record went quiet: **no fresh US wave and no fresh Iranian salvo on the night of 2–3 September**, a two-day gap after a fortnight of near-daily action. That is recorded as a finding, not read as de-escalation, because Trump said on 2 September the US is 'prepared to do another one, and anytime we want' while also saying the clashes would not last 'too long'. (iv) The diplomatic track narrowed to one Iranian condition and an explicit American refusal: Pezeshkian will 'immediately reciprocate' a US return to the June memorandum; Rubio says 'that ship, in many ways, has sailed'; Trump 'couldn't care less' whether Iran signs. (!) The Supreme Leader's first message since fire resumed promises 'unforgettable lessons' and names no diplomatic path — it does not endorse his own president's offer. NO movement on the Iran–Oman declaration, NO ceasefire proposal, NO UNSC meeting, NO IAEA board action, NO congressional vote. (v) Iran widened the economic front in the one domain it controls: the PGSA expanded the Hormuz blacklist from **45 to 56 vessels** on 2 September, ADNOC L&S, Navig8 and Bahri among the owners. Every one of these is a deterioration, and the channel was already at 5/5 in July. The scale cannot register any of it (\$9.7).

2.2 · Stage-4 thresholds

	Test	State on the 2 September close, with events to 3 September
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	UNTESTABLE AS WRITTEN, THEREFORE NOT ARMED ON THE RECORD (\$9.39) — the test needs a when-issued level Treasury does not publish, so it cannot RETURN a state and is carried as unarmed rather than satisfied. NO coupon auction cleared in the window; the bills auctioned this week are not a Threshold A input and their results are NOT RETRIEVED (\$9.50). (!) OPEN FOR A FOURTH CONSECUTIVE EDITION : Treasury release SB0607 of 19 August promised an updated tentative buyback schedule for the \$2bn→\$4bn long-end regime that begins 9 SEPTEMBER — now SIX DAYS away. (!) The coupon calendar and the FOMC now collide : the 3-year, the 10-year reopening and the 30-year reopening are announced 3 September and all settle 15 September , the first day of the 15–16 September meeting. Those announcements are PROSPECTIVE at this cut, not unobtained (\$9.46). A2.3.4
B	30-year above 5.20% WITH 10-year above 4.65%	ARMED, and it HELD a FOURTH close — but BOTH legs NARROWED for the first time in the run . 30-year 5.2571% clearing by 5.71 bp , from 7.30; 10-year 4.7780% clearing by 12.80 bp , from 14.81. (!) \$9.35 NO LONGER QUALIFIES THIS LEG — the test discharged, so the third close's 7.30 bp margin is confirmed rather than provisional, and the whole four-close run is now on certified fields. Ordinals UNCHANGED and this is NOT a new state: SIX armings and FIVE lapses, ELEVEN states, TEN changes since 29 July. (!) \$9.49 — the recorded DEFECT — is STRENGTHENED, and \$9.51 governs the entry : B has now been satisfied across FOUR closes spanning THREE distinct shapes — bear flattener, bear steepener, bear flattener again, bull steepener. FOUR closes, THREE distinct shapes, one threshold state . A test meant to detect long-end stress has now returned the same answer through every configuration the curve has available, which is precisely the non-discrimination the original complaint named
C	MOVE above 130	NOT ARMED. 79.71 — 50.29 points below C and 35.31 below the 115.02 war high of 26 March. But it is a THIRD consecutive close above 75 and the highest since 80.48 on 3 August, so the Treasury volatility downgrade leg is moving AWAY for a third session rather than lapsing. (!) The two anchor deviations continue to be reported SEPARATELY and no composite is constructed: volatility is 6.33 points ABOVE its 73.38 anchor and the 30-year 64.65 bp ABOVE its 4.6106 anchor — the second figure NO LONGER PROVISIONAL now \$9.35 has discharged — both on the same side for a third session. The month-long anomaly of a fully normalised expectation of movement around an un-normalised yield stays closed, and it closed because volatility rose to meet the yield rather than the reverse

2.3 · Cross-asset macro record — compressed

¶ **A STANDING FIGURE IS WITHDRAWN, and it is this document's own**. The SPR was carried here as **293.4 mn bbl**, described as current. **It is the week-ending 14 AUGUST print**. EIA's own highlights table has **289.7** at 21 August, and DOE has **286.6** now — so the level published as current was two weeks stale. (!) The replacement carries its own unresolved edges and they are printed rather than smoothed: the 286.6 is **DOE-sourced**, not EIA-sourced, because EIA's public tables still serve 21 August; two outlets date it to **28 August** and **26 August** respectively; and the 'lowest since' label varies across outlets between November 1982, 1982–83 and December 1982. This edition therefore writes 'the lowest in more than four decades' and drops the month. ¶ **The WPSR** for the week to 28 August, released 2 September: commercial crude — **4.5 mn bbl** to **424.5**, refinery utilisation **98.0%**, crude imports **6.8 mb/d** (+612 kb/d). (!) API is NOT spliced into that: for the same week it carries gasoline and distillate on the OPPOSITE signs to EIA. Different surveys, never blended (\$9.24). ¶ **The labour data softened** — ADP **+38,000**, the smallest gain since January against a **+48,000** consensus. Jobless claims and ISM Services fall on 3 September and are **PROSPECTIVE**. ¶ **Three pricing instruments, three universes, never averaged** (\$9.24). Polymarket has a 25 bp September **hike** at **57.5%** against the **56.5%** of 1 September — **+1 point over TWO DAYS**, against +23 over the prior week. (!) No cross-venue aggregate is constructed and no weekly rate is re-measured on a two-day interval. CME FedWatch was again **NOT OBTAINED**; its nearest dated figure is **66%** on 31 August. (!) No trend is read across the three. ¶ **OPEC+ meets 6 September** and October policy is reported likely UNCHANGED. No spare-capacity estimate and no IEA statement was published in the window — both **NOT FOUND**, and no number is supplied in their place. The full macro record, the WPSR product detail, the Treasury-supply internals and the SPR reconciliation are at ANNEX A2.3.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for an eighteenth consecutive edition. No channel moved. Rationales are trimmed to the two-document format; \$2.1 carries the detail and A10.2 the full trigger state.

Channel	Score	Basis on the 2 September close	Distance to a change
1 · Maritime denial	5	NIL return: no JMIC 093, count unchanged at 100 . Saudi Arabia NAMED Iran for the fatal <i>Sidr</i> strike; two seafarers killed	At the cap. (!) The traffic leg is UNMEASURABLE this edition — no provider published a 2 or 3 Sep transit count
2 · Oil price shock	2	Brent CO2 \$92.09, +\$0.52 . TTF a FOURTEENTH war-record close and JGLA an ELEVENTH ; Henry Hub's discount NARROWED to 3.49%	\$2.91 below the \$95 upgrade — the NARROWEST of the twelve edition-over-edition readings . (!) The ACTIVE contract CLOSED through \$95 at \$95.63 ; \$9.56
3 · US inflation impulse	5	5y5y 2.3096% , a SECOND close above the 2.30% that fired the upgrade. ISM Prices 71.1 , a 23rd straight month	16.76 bp above the 2.142% anchor. Still the nearer candidate, 16.76 against 25.71
4 · Treasury stress	5	A BULL STEEPENER , the inverse of Tuesday: 2-year –3.08 bp , 30-year –1.59 . All three war-high closes STAND. \$9.35 DISCHARGED . MOVE 79.71	Volatility leg LOST a third close and rising; yield leg fails by 25.71 bp , narrowed from 27.30 — and narrowed because yields fell, not volatility
5 · Political stress	5	AUTMUSAG backfilled UP again to \$4.86 for 1 Sep — joint-highest print since 3 June , equal to the \$4.86 of 4 June, NOT a war high — then DARK. AAA diesel \$5.6879, +32.42c m/m	26 cents above the \$4.60 condition and moving AWAY for a second edition
6 · Escalation risk	5	A standing ' tanker for tanker ' doctrine REPORTED — TIER 2 , one sourcing chain, CENTCOM silent. Two-day kinetic gap	At the cap. (!) The scale cannot register a change in the RULES of the war, only in its events

Read the composition, not the total (\$9.7, \$9.27). Five of six channels are at the ceiling, so the score cannot register an American decision to answer attacks on commercial shipping by striking Iranian tankers as a standing policy, the first Gulf-state attribution of a LETHAL attack to Iran by name, a fourteenth war-record TTF close, an eleventh in Asia LNG, or the expansion of Iran's own transit blacklist from 45 vessels to 56. It equally cannot register what cut the other way: no fresh American wave and no fresh Iranian salvo on the night of 2–3 September, the first two-day gap in a fortnight. (!) The sixth channel — the only one with headroom — is this edition **\$2.91** from moving on the scored series, the narrowest of the twelve edition-over-edition readings, while the active contract has CLOSED through the trigger level. **A flat 27 is an instrument at its stop, and the one dial still free is now ambiguous on settlement prices rather than merely on marks.**

4 · WHAT HAS CHANGED SINCE THE 2 SEPTEMBER EDITION

#	Change	Significance
1	The active Brent contract CLOSED through \$95, at \$95.63 , while the scored continuation closed \$92.09 — \$2.91 below, the narrowest of the twelve edition-over-edition readings. The basis ran 0.00, 2.12, 3.08, 3.54, 3.67	\$9.56 ESCALATES from marks to CLOSSES. The trigger now sits between the two series on the only kind of price this instrument may score. (!) The rule is NOT moved to the series that would fire it (\$9.26). The channel holds at 2
2	(!) A CLAIM THIS DOCUMENT NARROWED BEFORE PRINT. The 2 September COA close is NOT the first above \$95: the active contract closed \$95.14 on 3 June and above \$95 twenty-three times earlier in the war	A superlative sweep caught it in draft. The defensible statement is the smaller one — first since 3 June, and ONE close where the upgrade needs a sustained break. Recorded because the wrong version would have been the more dramatic one
3	Washington is REPORTED to have approved a DOCTRINE, not just a strike. US officials report an approved standing 'tanker for tanker' policy, and the first US strikes on Iranian government tankers in RETALIATION rather than blockade enforcement — framed as a recurring cycle that 'bought at least a month'	A change in the RULES of the war rather than its intensity: attacks on commercial shipping now carry an automatic exchange rate against Iran's own fleet. (!) ONE sourcing chain , anonymous officials via a single outlet; republication is not corroboration, and CENTCOM has said nothing
4	Saudi Arabia NAMED Iran for the 31 August strike on its own VLCC <i>Sidr</i> , and UKMTO Warning 126-26 confirmed two Filipino seafarers KILLED . The IRGC says the tankers struck MINES	The first direct Gulf-state attribution of a LETHAL attack — materially different from condemning a strike on another state's ship. Both accounts stand; neither is adopted; no figure here rests on the Iranian version
5	(!) \$9.35 IS DISCHARGED on the 30-year. The 1 September close of 5.2730% , carried as PROVISIONAL, is confirmed genuine because the 2 September row moved around it to 5.2571%	Everything the last edition hedged now stands: the d/d, Threshold B's margin, and the long-end leg of the flattener. The test cost one edition of hedging and lost nothing — the trade it was written to make after \$9.25 concealed a war high
6	A BULL STEEPENER, the exact inverse of Tuesday. Yields fell and fell most at the front: 2-year –3.08 bp , 5-year –2.12 , 10-year –2.01 , 30-year –1.59 ; 2s10s +1.286 . All three war-high closes SURVIVE	The THIRD distinct curve signature in four sessions. (!) It also strengthens \$9.49: Threshold B has now been satisfied across four closes spanning THREE distinct curve shapes, which is the non-discrimination the original complaint named
7	A STANDING FIGURE IS WITHDRAWN, and it is this document's own. The SPR was carried as 293.4 mn bbl described as current. That is the 14 AUGUST print. EIA has 289.7 at 21 August; DOE has 286.6 now	A flagship datapoint published two weeks stale. (!) The replacement is DOE-sourced not EIA-sourced, its data date is given as 26 or 28 August by different outlets, and the 'lowest since' label varies — so this edition writes 'more than four decades' and drops the month
8	The war entered US survey data by name. August ISM records that 30 per cent of negative respondent comments mentioned the Iran war; the Beige Book's St Louis district is the only one of twelve to name the conflict, reporting a robust pace of price increase on Middle East fuel costs	The first quantification of the conflict INSIDE a US diffusion index rather than inferred from one. (!) Against it, the Beige Book records that pass-through is breaking — an input shock that cannot be passed on is a margin event before it is an inflation event

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Return to full war	35%	Sustained US or Israeli strike campaign inside Iran with Iranian reprisals against US bases and Gulf infrastructure	+2, and it passes deal collapse for the first time, having trailed by one point. The doctrine is what moves it, not the two-day lull: a standing 'tanker for tanker' policy described by its own officials as a recurring cycle is a commitment to repeat. (!) Only +2 because the same window contained NO fresh wave from either side
Deal collapse on terms	33%	The corridor framework exists on paper and dies over geometry, fees and sovereignty; the blockade and the counter-blockade both continue	–1. The track narrowed to one Iranian condition and an explicit American refusal of it — Rubio's 'that ship, in many ways, has sailed'. (!) The Supreme Leader's first message since fire resumed does not endorse his own president's reciprocity offer

Scenario	Prob.	Content	Shift and why
Regional relapse	17%	The war widens to Gulf states directly — UAE, Saudi, Bahraini, Kuwaiti or Qatari territory or infrastructure struck	+1, on the first LETHAL attack a Gulf state has attributed to Iran by name. Saudi Arabia named Iran for the <i>Sidr</i> ; Kuwait and Qatar condemned it; Iran's PGSA expanded its blacklist to 56 vessels including Bahri's. (!) A named attribution of a killing is a firmer basis than last edition's Tier 2 relays
Contained but violent	12%	The present state persists: blockade, counter-blockade, periodic strikes on shipping, no reopening and no general war	–2 to a new low. (!) It is cut DESPITE a two-day kinetic gap, and that is the point: containment is not a pause between waves but the absence of a policy to repeat them. An institutionalised strike-exchange, if executed, is the thing this line cannot survive
Mediated pause	3%	A verified stand-down, resumed talks and a reopening on published terms	UNCHANGED at the lowest reading of the war. FOR: Qatar mediating with Oman and Pakistan; the Pezeshkian offer still formally on the table. AGAINST: no movement on the Iran–Oman declaration, no talks scheduled by any party , and no UNSC meeting convened

Sums to 100. **Full war and deal collapse together carry 68%**, up from 67. (!) The structural change is that **the one-point tie is broken and full war is modal outright** — but by two points, barely outside the resolution of this method, and it is not described as a lead. What moved it is a **POLICY**, not an event: the two-day lull would on its own have argued the other way. (!) **The doctrine reaches this document as TIER 2** — anonymous US officials via a single outlet, republished but not independently originated — and it is the single largest weight in this map, stated plainly rather than buried. The Saudi attribution is **TIER 1**. The IRGC's mine account and its casualty claims carry NO weight anywhere. **The reading turns on whether the doctrine is executed.** If a second tanker exchange follows inside a week, full war clears the field; if the lull extends past the weekend, this reading is at the top of its range.

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	Whether the 'tanker for tanker' doctrine is EXECUTED a second time, and whether CENTCOM ever acknowledges the first. centcom.mil has published nothing since 1 September and no BDA at all	It is the difference between a policy and a briefing. A doctrine stated once by anonymous officials and never executed is a signal; executed twice it is the new structure of the war, and the scenario map is built on it at TIER 2
2	Whether Brent CO2 closes above \$95 — and how the trigger is to be read while the active contract closes above it and the continuation does not. The basis is 3.54 on the 2 September close and 3.67 on the 3 September MARK, widening every session	The largest open methodological problem in this document (\$9.56), now live on CLOSES. An upgrade on one series and not the other is not a defensible published state, and \$9.26 forbids resolving it toward whichever series fires
3	Whether MOVE holds above 75 a fourth time, and whether the 3 September coupon announcements land as expected — 3-year, 10-year and 30-year reopenings all settling 15 September , the first day of the FOMC	The volatility leg has been lost three sessions running and is moving away, not lapsing. (!) Coupon supply and a policy decision arrive in the same week, into a curve that has changed shape three times in four sessions
4	Whether any provider publishes a Hormuz transit count for 2–3 September, and whether Wright's 17 mn bbl can be reconciled with Kpler's four crossings	(!) The maritime traffic leg is currently UNMEASURABLE — the first edition of the war in which no provider published a count for the window. The two readings are in DIFFERENT UNITS — a vessel count and a barrel volume — and cannot be differenced; ING says in writing that they cannot both be read at face value
5	The 9 September start of the doubled long-end buyback regime with the schedule STILL unpublished; OPEC+ on 6 September ; and whether the CENTCOM blockade tally is refreshed past 29 August	Three dated items inside a week. (!) The buyback gap is FOUR editions old and six days from the regime start. The blockade tally pre-dates both the strike wave and the doctrine it produced

The **SOURCE LOG (A7)**, the **UPDATE PROTOCOL (A8)** and the **METHODOLOGY (A9)** are not printed in the edition — they are carried in the companion ANNEX for 3 September 2026, together with A1 (full tape commentary and the reconciliation), A2.3 (the full macro record, the war-powers schedule and the SPR withdrawal) and A10 (anchor and trigger levels).